



Viable Core Business (VCB)



LIANELA

ANGEL INVESTMENT OPPORTUNITY

AI-Powered Labour Law Compliance for South African Companies

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THE PROBLEM

A Perfect Storm of Regulatory Complexity

2024/2025 LRA Amendments Create Urgent Crisis

47 transformative amendments to South Africa's labour laws - the most significant overhaul in **THREE DECADES**

High-Income Earner Caps

New R1.8M threshold with complex automatic unfairness exceptions

2x Severance Costs

Retrenchment costs doubled (100%) from 1 to 2 weeks per year of service

Probation Ambiguity

"Reasonable & justifiable" standard creates litigation exposure

Gig Worker Risk

Presumption of employment threatens platform business models

156,878 South African SMBs lack the resources to navigate this complexity



THE SOLUTION

LIANELA: Your AI Compliance Partner

AI-Powered Labour Law Compliance Platform
Transforming complex legal obligations into simple, guided workflows

AI-Powered Disciplinary Module

- Real-time bias monitoring & fairness alerts
- Live transcription & AI analysis
- Auto-generated CCMA-compliant reports
- Enterprise-grade encryption

Expert Content Engine

- Continuous updates from advocates (45+ years experience)
- Video explanations & templates
- Live legal advice marketplace

LRA Compliance Suite

- High-earner dismissal workflows
- Probation period documentation
- Retrenchment cost calculator
- Worker classification tool

Mobile-First Design

- Access anywhere, anytime
- Secure document hub
- Employee self-service portal



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MARKET OPPORTUNITY

Massive, Underserved & Time-Sensitive

R335M

Legal Tech Market by 2030

10.9% CAGR

156,878

Target SMBs

11-200 employees

68,712

Primary Target

Sweet spot segment

Customer Segmentation

Micro (1-10 employees)

66% of market • Freemium entry • Fast decisions (1-3 months)

66%

Small (11-50 employees)

26% of market • PRIMARY TARGET • Value-driven • 3-6 months sales

26%

Medium (51-200 employees)

6.5% of market • Highest revenue/customer • 6-12 months sales

6,5%

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COMPETITIVE ADVANTAGE

Best-in-Class Across All Dimensions

Feature	LIANELA	erNavigator	GBS Bots	Intoweb
AI Capabilities	10/10 Real-time guidance	4/10 Rules-based only	7/10 Post-hearing AI	2/10 No AI
Live Hearing Support	✓ Full integration	✗ Case mgmt only	✗ Separate tools	✗ Documentation
LRA 2024/25 Compliance	10/10 All amendments	8/10 General coverage	8/10 Good coverage	7/10 Basic coverage
Mobile Experience	10/10 Mobile-first	6/10 Desktop focus	7/10 WhatsApp bot	5/10 Limited mobile
Pricing (SMB-friendly)	R649-R2,499 Tier flexibility	Quote-based Higher cost	R9,000/bot Per module	Quote-based Setup fees

45+
Years legal expertise integrated

FIRST
Real-time AI fairness monitoring

48%
Lower cost than competitors



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BUSINESS MODEL

Scalable SaaS with Optimized AI Economics

Five-Tier Subscription Model with 70-95% Gross Margins

Freemium R0

- Lead generation
- 2 cases/mnth
 - 1 user
 - Basic templates

Starter R649

- 11-25 employees
- 8 cases/mnth
 - 3 users
 - AI guidance

Professional R1,299

- 26-75 employees
- 20 cases/mnth
 - 7 users
 - Full AI + analytics

Business R2,499

- 76-200 employees
- 50 cases/mnth
 - 15 users
 - Advanced AI

Enterprise Custom Pricing Per Annum

- 200+ employees
- Unlimited
 - Custom AI
 - Dedicated support

AI Cost Management Strategy

AI Cost per Case: **R0.38-R0.63**

Gross Margin: **70-95%**

Average Case Volume: **15k-25k tokens**

Cost Buffer: **20%**

Target CAC Payback **6 months**

Target LTV:CAC **6.8x**

Avg Annual Churn Target **5-15%**

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GO TO MARKET & PRODUCT ROADMAP

Market Validation Meets Strategic Execution

Go-to-Market Strategy

- Channel Partnerships: Accounting firms, HR consultants, legal networks
- Direct Outreach: LinkedIn campaigns, webinars, industry events
- Pilot Program: 5–10 early adopter SMBs with LOIs in progress

Phase 1 (M1-3): Build & Soft Launch	Phase 2 (M4-9): Hard Launch	Phase 3 (M10-12): Scale
Gauteng & W. Cape focus	National expansion	Full market coverage
10 pilot customers	88 paying customers (R1.2M ARR)	Total of 166 customers (R2.4M ARR)
Channels: • HR / Lawyer & Accounting firms (40%) • LinkedIn/Digital (30%) • Consultants (20%) • Direct (10%)	• Optimize best channels • Webinar series • Industry partnerships	• Enterprise tier launch • Payroll integrations • Series A prep • The R2.4M is showing at the end of Month 12

Product Roadmap

- Q1: Beta launch with core compliance modules
- Q2: Full LRA suite, mobile app, self-service portal
- Q3: Advanced analytics, legal advice marketplace, integrations



VALIDATION & DEFENSIBILITY

Building Trust & Protecting Innovation

Customer Validation

- We spoke to small and medium businesses who confirm the urgent need for this tool.
- Advocate network provides ongoing feedback and early endorsements.
- We are in the process of securing pilot customers for the beta phase.

Intellectual Property & Defensibility

- Proprietary AI-driven disciplinary and compliance workflow engine.
- Continuous legal content updates from in-house experts (45+ years' experience).
- Planned IP filings for unique dispute resolution framework and real-time fairness monitoring.



FINANCIAL PROJECTIONS

Path to Profitability & Scale

Base Case: Conservative Growth with Strong Unit Economics

Year 1

R2.4M

166 customers
0.11% market share

Year 3

R8,5M

405 customers
0.3% market share

Year 5

R19,6.0M

Strong profitability
78% gross margin

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
Total Revenue (Appendix A)	R2 413 020	R4 209 160	R8 526 756	R13 114 140	R19 686 204
Gross Profit	R1 882 156	R3 283 144	R6 650 870	R10 229 029	R15 355 239
Operating Profit / (Loss)	-R1 843 170	-R788 585	R2 219 803	R5 451 257	R10 169 755
Net Profit / (Loss)	-R1 843 170	-R788 585	R1 598 258	R3 924 905	R7 322 224
Closing Cash (Appendix B)	R1 156 830	R368 245	R1 966 503	R5 891 408	R13 213 632

Key Milestone: Cash Flow Positive

Year 3

Business starts generating positive net profit

Key Milestone: Profitability

Year 5

R7.3M net profit

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THE TEAM

Extensive Expertise Where It Matters Most

Dawn Beech CEO

Tommy Ferreira CTSO

Nandi Basson CLO

Hassim Mohamed
Business Dev Director

ANO
CSMO
Non-Executive

Rose Chaplin
Head of Marketing

Our leadership team brings over 100 years of combined expertise across technology, business strategy, and legal governance, with extensive experience in technical engineering, cybersecurity certification, and the architecture of advanced systems.

The team also offers deep knowledge in IT, strategic partnerships, customer service and operational execution.

Complementing this is the strong legal acumen, including high-level advocacy and expertise in compliance and regulatory frameworks.



THE ASK

R3 Million Seed Investment via SAFE

R3 Million Seed Round

12-month runway to beta launch & first paying customers

Investment Structure

SAFE Agreement

Simple Agreement for Future Equity

- No debt, no interest, no repayment deadline
- Clean, fast, founder-friendly

Valuation Cap (pre-investment)

R12 Million

Target: 20% equity stake

Fair partnership aligned with market standards

Pro Rata Rights

- If you own 10% after SAFE conversion, you have the **guaranteed right** to buy 10% of future rounds
- Maintain ownership % as we scale

Use of Funds

Senior AI Engineers

40%

Core product development

Sales & Marketing

25%

Customer acquisition

Product & Infrastructure

20%

Cloud, AI APIs, security

Operations & Admin

15%

Customer success, back office

Runway: 12 months to achieve:

- ✓ Full beta product launch
- ✓ First pilot customers secured
- ✓ Proven product-market fit

Your Investment Protection



Valuation Cap Advantage

If we raise at R50M next round, you convert at R15M post investment (5x more shares)



Change of Control Protection

Your R3M returned first in acquisition scenario (priority liquidation)

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VALULATION JUSTIFICATION

R12 Million Pre-Investment Valuation

Fair Partnership Structure

20% equity stake for R3M investment aligns with industry-standard pre-seed terms

Market Comparables

R8M-R20M range is typical for pre-seed AI startups in South Africa with similar profiles

Foundation Value

- Specialized team with domain expertise in legal tech and AI
- Proprietary dispute resolution framework and concepts
- Initial codebase and technical architecture in development
- Clear regulatory catalyst driving immediate market need



RISK MITIGATION STRATEGY

Proactive Approach to Execution Risk

Primary Risk: Execution

Building product and achieving market penetration in competitive timeframe

Technical & Cost Mitigation

20% AI cost buffer built into financial projections

Volume discounts pre-negotiated with cloud providers

Real-time usage monitoring to optimize AI spend

Phased rollout approach to validate before scaling

Market Risk Reduction

Regulatory catalyst (LRA amendments) significantly reduces adoption uncertainty

Channel partnerships with accounting firms and consultants provide distribution leverage

Clear SMB pain point validated through advocate network



EXIT STRATEGY – PART 1

Clear Path to 10-28x Returns in 5 Years

Primary Exit Path: Strategic Acquisition (70% Probability)

Legal Tech Giants

Thomson Reuters

LexisNexis

Wolters Kluwer

40% probability

10-15x revenue multiples

HR Tech Platforms

SAP SuccessFactors

Sage Group

Workday

25% probability

6-10x revenue multiples

African Tech

Naspers/Prosus

MTN Group

Vodacom Business

5% probability

4-8x revenue multiples

Seed Investor Return Scenarios Projected over 5 Years

CONSERVATIVE EXIT VALUE

R120M

10x

109% IRR

BASE CASE EXIT VALUE

R336M

28x

157% IRR

OPTIMISTIC EXIT VALUE

R840M

70x

209% IRR

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EXIT STRATEGY – PART 2

Timelines and Milestones

Years 1-2: Build Acquirer Interest

- Achieve product-market fit (R4,5M ARR, 450 customers)
- Strategic partnerships with HR platforms
- International conference presence & thought leadership

Years 3-5: Create Competitive Tension

- Engage M&A advisor (RMB, Investec, Drake Star)
- Informal conversations with 5-7 potential acquirers
- Series B/C fundraising creates acquisition urgency

Years 6-7: Formal M&A Process

- Launch dual-track (acquisition + IPO prep)
- Management presentations to 3-5 serious bidders
- Due diligence & negotiation (6-12 months)
- **Close transaction at R420M+ valuation**

INVESTOR PROTECTIONS

Pro Rata Rights: Maintain ownership % through future rounds

Valuation Cap: R12M cap = 3x more shares if Series A at R50M+

Priority Liquidation: R3M returned first in acquisition scenario

Partial Liquidity: Secondary sales in Series B (Yr 3) & C (Yr 5) available

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JOIN US

Be Part of South Africa's Legal Tech Revolution

Why Invest Now?



Time-Sensitive Opportunity
2024/2025 LRA amendments create immediate, urgent market demand



Clear First-Mover Advantage
No direct competitor offers our comprehensive AI-powered solution



Massive Market
156,878 SMBs + R335M market by 2030 growing at 10.9% CAGR



Proven Team
45+ years legal expertise + AI/ML technical and operational excellence

LIANELA

Let's democratise labour law compliance for South African SMBs

R3M INVESTMENT ASK

12M MONTHS RUNWAY

20% Your Investment



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THE SOUTH AFRICAN MARKET IS READY FOR LIANELA!

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APPENDIX A

Assumed Customer Mix by Tier for Revenue Projections

Year	Package Rate per Month	Year 1 # of Target Customers	Total Projected Revenue	Year 2 # of Target Customers	Customer Churn	Total Projected Revenue	Year 3 # of Target Customers	Customer Churn	Total Projected Revenue	Year 4 # of Target Customers	Customer Churn	Total Projected Revenue	Year 5 # of Target Customers	Customer Churn	Total Projected Revenue
Starter Revenue	R649	125	R973 500	150	135	R1 051 380	270	243	R2 102 760	400	360	R3 115 200	600	540	R4 672 800
Professional Revenue	R1 299	25	R389 700	75	67,5	R1 052 190	110	99	R1 714 680	170	153	R2 649 960	255	229,5	R3 974 940
Business Revenue	R2 499	15	R449 820	38	34,2	R1 025 590	57	51,3	R1 709 316	85	76,5	R2 548 980	128	115,2	R3 838 464
Enterprise Revenue	R50 000	1	R600 000	2	1,8	R1 080 000	5	4,5	R3 000 000	8	7,2	R4 800 000	12	10,8	R7 200 000
Projected Annual Revenue			R2 413 020			R4 209 160			R8 526 756			R13 114 140			R19 686 204

156,878

Target SMBs
11-200 employees

* Please note our projections are very conservative.



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APPENDIX B

Cash Flow Bridge

	Year 1	Year 2	Year 3	Year 4	Year 5
Opening Cash	R3 000 000	R1 156 830	R368 245	R1 966 503	R5 891 408
Net Profit/ Loss	-R1 843 170	-R788 585	R1 598 258	R3 924 905	R7 322 224
Investing Activities	R0	R0	R0	R0	R0
Financing Activities	R3 000 000	R0	R0	R0	R0
Closing Cash	R1 156 830	R368 245	R1 966 503	R5 891 408	R13 213 632

